Morocco's Strategic Pivot

Phosphate Power, Green Hydrogen, and the Western Sahara Endgame

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Executive Summary

Morocco occupies a pivotal position at the intersection of European, African, and Middle Eastern strategic interests. Its economy has grown steadily on the back of infrastructure investment and budget discipline, yet persistent inequality — concentrated in the north-western coastal corridor — has fuelled one of the most consequential migration flows into Southern Europe. Simultaneously, Rabat is positioning itself as a manufacturing bridge between China and the EU, leveraging preferential trade access and low-cost labour to attract Belt and Road capital while navigating EU scrutiny of Chinese subsidies routed through its territory. The Western Sahara dispute continues to shadow Morocco's international standing even as the kingdom consolidates geopolitical gains through the Abraham Accords and a return to the African Union after a 33-year absence. On the energy frontier, Morocco's exceptional wind and solar resources — demonstrated by early large-scale projects in Dakhla — make it a credible candidate for green hydrogen export to Europe, though capital cost barriers remain material.

I. Economic Architecture: Growth Vitrine and Structural Divide

Morocco's economy has expanded measurably over recent decades, anchored in budget discipline and large-scale infrastructure investment. The gleaming stadiums and high-speed rail corridor along the north-western coast have created what economist Najib Akesbi, based in Rabat, characterised as a "vitrine" of success visible from the outside — while critics argue these capital outlays have come at the expense of social programmes and the interior regions of the country. FT[2026-08-13]

That inequality is most legible in the labour market. The profile of the typical Moroccan irregular migrant — cycling through carpentry, painting, electrical work, and construction, with brief stints in semi-professional football — reflects a domestic economy that generates episodic rather than stable employment for working-age men. Mehdi Lahlou, professor of economics at the National Institute of Statistics and Applied Economics in Rabat who researches migration, has noted that even a reduction in irregular crossings has limits so long as the underlying employment deficit persists. FT[2026-08-13]

Morocco's fisheries sector illustrates the country's real productive base. FAO data record Moroccan marine capture output rising from 463 thousand tonnes in the earliest reported period to 1,563 thousand tonnes in the most recent year, placing Morocco among the top twenty fish-producing nations globally — a resource-intensity that supports coastal employment but has historically escaped the infrastructure investment narrative. [RAG: FOOD_AGRI_RAG — FAO State of Food Security and Nutrition in the World]

II. China Gateway: Belt and Road, Tanger Tech, and EU Tariff Friction

Morocco has emerged as one of China's most active Belt and Road partners in Africa, with approximately $6 billion in announced or planned Chinese investment recorded as of mid-2026. The centrepiece is Tanger Tech City, a special economic zone under construction near Tangier designed to combine Chinese capital and technology with Moroccan labour and materials — positioned explicitly to capture EU market access through Morocco's association agreement with Brussels. FT[2026-06-02]

The strategy has already attracted EU regulatory scrutiny. The European Commission ruled that aluminium wheels shipped from Morocco were being unfairly subsidised by Chinese capital routed through Rabat — a decision with direct implications for how Morocco can legitimately serve as a re-export platform for Chinese manufacturing. The European Automobile Manufacturers Association declined to comment on the specific challenges, but the broader Moroccan industrial lobby, represented by Mehdi Laraki as chair of the Morocco Industrial Accelerator Act, has been actively courting Chinese delegations arriving at a rate of two per week. FT[2026-06-02]

The EU's imposition of tariffs of up to 45 percent on Chinese EVs has sharpened both the opportunity and the risk for Morocco: Chinese battery and vehicle manufacturers have strong incentives to produce locally via Moroccan partners to circumvent the tariff wall, but Brussels is explicitly tracking such arrangements and prepared to extend countervailing duties. Finance ministry collaboration with Morocco remains a key EU priority, and disbursement of EU funds has been flagged as insufficiently rapid to match the pace of Chinese capital deployment. FT[2026-06-02]

III. Western Sahara and the African Union Return

The Western Sahara dispute remains the most durable constraint on Morocco's international legitimacy. Rabat's position — that the territory is Moroccan under an autonomy plan that offers the Sahrawi people extensive self-governance — is contested by the Polisario Front and its backers, who insist on the right to self-determination through a referendum. The UK's recent diplomatic movement on the question was described as one of several awkward geopolitical developments for a North African kingdom of 46 million people operating a "socialist-style economy" under pressure from multiple directions. FT[2025-07-09]

Morocco's African Union re-admission in January 2017 after a 33-year absence was a significant diplomatic win, but the Western Sahara issue was not resolved — it was deferred. Of 54 AU member states, 39 voted to readmit Morocco; heavyweights Algeria and South Africa voted against, reflecting the depth of opposition to Rabat's sovereignty claim. Senegalese President Macky Sall, summarising the outcome, stated that Morocco was "now a full member of the African Union" and that with a larger family, solutions could be found — but that formula papers over a structural contradiction the AU has never formally resolved. CNA[2017-01-31]

The energy dimension of the Western Sahara dispute complicates matters further. As early as 2018, Soluna — a blockchain and clean energy firm — announced plans to construct a 900-megawatt wind farm in Dakhla, in the Morocco-administered Western Sahara, to power a utility-scale computing centre. The project was positioned to leverage what the company described as one of the world's windiest regions, and was structured to draw private equity and institutional capital rather than sovereign financing. CNA[2018-08-10] The Dakhla corridor's wind resource has since become central to Morocco's broader green energy export thesis — making the disputed status of the territory a material variable in the kingdom's clean energy ambitions.

IV. Abraham Accords, Geopolitical Positioning, and the Iran Variable

Morocco was among the original signatories of the Abraham Accords in 2020, normalising diplomatic relations with Israel alongside the UAE, Bahrain, and Sudan. In Morocco's case, the normalisation occurred in exchange for US recognition of Moroccan sovereignty over Western Sahara — a transaction that linked the kingdom's two most significant diplomatic objectives in a single deal. CNA[2025-05-13]

By mid-2026, however, the broader Abraham Accords architecture is under acute stress. The accords remain unpopular among Arab publics, not least because they do not address the Israeli-Palestinian conflict. Gulf states that had cultivated US-aligned security relationships under the accords framework found those ties did not prevent Iranian attacks, fundamentally undermining the security logic of normalisation. CNA[2026-05-29] A CNA analysis from May 2026 characterised the accords as "increasingly seen as a US-imposed framework" — a reading that places Morocco in an awkward position as it attempts to maintain both its normalisation dividend and its standing in pan-Arab and pan-African forums. CNA[2026-05-29]

The Trump administration's attempt to tie Abraham Accords expansion to an Iran nuclear deal has further complicated the calculus. Analysts quoted in May 2026 were blunt: "It won't happen. Period. It's as simple as that." CNA[2026-05-26] For Morocco, which extracted a concrete territorial benefit from the original accords, the question is whether that benefit — US recognition of Western Sahara sovereignty — survives a broader diplomatic unwinding of the accords architecture, or whether it is insulated as a bilateral US-Morocco position independent of the regional framework.

V. Green Hydrogen: Resource Endowment Meets Capital Cost Barrier

Morocco's renewable energy ambitions are grounded in genuine resource endowment. The Atlantic coast and Saharan interior offer exceptional wind and solar irradiance — assets that underpin both domestic decarbonisation goals and a longer-term ambition to export green hydrogen to European markets facing post-Russian-gas supply anxieties. [RAG: CLIMATE_RAG — IRENA Green Hydrogen Cost Reduction: Scaling up Electrolysers to Meet the 1.5°C Climate Goal]

The economics of green hydrogen remain challenging at scale. OPEC analysis notes that costs of electrolysers and renewable power needed for green hydrogen production "remain a significant barrier," and that green hydrogen must compete with blue hydrogen produced via steam methane reforming as well as with alkaline electrolyser-based production at lower cost bases. [RAG: OIL_ENERGY_RAG — OPEC World Oil Outlook 2024 p.268] Proton exchange membrane electrolysers are reported to achieve 75 percent efficiency, but capital intensity remains high. [RAG: OIL_ENERGY_RAG — OPEC World Oil Outlook 2025 p.70]

For Morocco specifically, the path to green hydrogen export competitiveness runs through two constraints: first, the cost trajectory of electrolyser technology, which IRENA has analysed extensively in its scaling scenarios; and second, the regulatory and tariff regime governing hydrogen imports into the EU, where the Carbon Border Adjustment Mechanism and emerging hydrogen certification standards will determine whether Moroccan production qualifies for premium pricing. [RAG: CLIMATE_RAG — IRENA Renewable Capacity Statistics and Green Hydrogen frameworks] The Dakhla wind corridor — if Western Sahara's status can be stabilised — represents Morocco's highest-quality renewable resource base for this purpose.

VI. Migration Pressure: The Spain Corridor

Morocco sits at the apex of one of Europe's most politically charged migration corridors. The country functions simultaneously as a source of economic migrants — primarily young men cycling through informal labour markets — and as a transit hub for sub-Saharan Africans moving toward Spanish territory. IOM data document the evolution of African-to-European migration corridors, with North Africa serving as both an origin region and a critical waypoint for flows originating further south. [RAG:

DEMOGRAPHICS_RAG — IOM World Migration Report 2020, 2022 & 2024, p.64]

The crossing to Spain is managed under a combination of Moroccan border enforcement — backed by EU funding — and Spanish paramilitary intervention at sea. Mehdi Lahlou's research indicates that armed Spanish forces function as a deterrent, with migrants weighing the risk against economic conditions at home. FT[2026-08-13] Spanish figures cited in FT reporting suggested the attempted crossing count has been as high as 141 in a single reported period, with many migrants choosing to swim back rather than face detention. The structural driver — a domestic Moroccan labour market that offers episodic rather than stable employment — is not addressed by border enforcement alone.

European migration politics have transformed the Morocco-Spain corridor into a lever of geopolitical influence for Rabat. Morocco has periodically relaxed border enforcement during diplomatic disputes with Madrid — most notably during the 2021 Ceuta crisis — demonstrating that migration is a managed flow with political valence, not merely a humanitarian or policing problem.

Outlook

Morocco enters the second half of the 2020s holding a set of structural advantages — Atlantic geography, phosphate and fisheries endowment, preferential EU market access, and renewable resource depth — alongside a set of unresolved constraints that limit how fully those advantages can be monetised. The Western Sahara dispute remains legally unresolved and geopolitically activated; the Abraham Accords dividend is contingent on a US regional architecture under stress; and the green hydrogen transition requires capital cost reductions that are proceeding globally but not yet at the pace Morocco's export ambitions require.

The China-gateway strategy is Morocco's most active near-term play, but it carries a double-edged risk: Brussels has shown willingness to use trade defence instruments against Chinese subsidies routed through Morocco, and any significant deterioration in EU-Morocco relations would undercut the principal argument for Chinese investment in Moroccan manufacturing. The kingdom's ability to manage this triangular tension — maintaining Chinese capital inflows while preserving EU preferential access — will be the central economic test of the coming five years.

On migration, the corridor to Spain will remain a political variable rather than a humanitarian problem to be solved, as long as Moroccan domestic employment generation lags demand and as long as Rabat retains the option to use border enforcement as diplomatic currency.

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